

WOOD EXPORT FROM VIETNAM TO EUROPE

Diploma Thesis

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2022

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In Brno, on 19 September, 2021.

THANK YOU

In order to complete the Master of Business Administration program and this thesis, I would like to express my gratitude to the professors and teachers of the Faculty of Business and Economics at Mendel University in Brno for providing me with valuable knowledge, supporting me to approach scientific thinking that serve me in work and in life, and especially for Ing. Marcel Švela, Ph.D for guiding me through the writing of this thesis.

I would also like to thank the teachers and authors who helped me with research references to make this thesis.

Despite efforts to put this idea into practice, it is not unavoidable.

In order to make the essay more complete, due to its shortcomings, I would like to receive useful suggestions from the instructors and teachers in the Council.

Sincerely thank!

TRAN THANH PHAT

Abstract

Although Vietnam's exports to the EU market have improved in recent years, the wood export turnover remains small, insufficient to meet the country's export potential, and underutilized. Use Vietnam's comparative advantage to your advantage.

Identifying strengths and weaknesses for wood export, as well as variables affecting the export of wood goods, starting with the current situation of Vietnam's wood exports to countries in general and Europe in particular. The advantages and opportunities of Vietnam's wood export, as well as the expertise of shipping wood across countries, have resulted in solutions for the most effective wood export to Europe.

Keywords

EU - MUTRAP, (Multilateral Trade Assistance Project), Export wood to Europe, VN Export.

Abstrakt

Přestože se vietnamský vývoz na trh EU v posledních letech zlepšil, vývoz dřeva zůstává malý, neodpovídající k využití exportního potenciálu země a nedostatečně efektivní. Vietman by měl svou komparativní výhodu využívat ve svůj prospěch.

Identifikace silných a slabých stránek exportu dřeva, stejně jako proměnných ovlivňujících export dřevařského zboží, počínaje současnou situací vietnamského exportu dřeva do zemí obecně a do Evropy zvláště. Výhody a příležitosti vietnamského exportu dřeva, stejně jako odbornost přepravy dřeva napříč zeměmi, vyústily v řešení pro nejefektivnější export dřeva do Evropy.

Klíčová slova

EU - MUTRAP, (Projekt vzájemné obchodní pomoci), Export dřeva do Evropy, VN Export.

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1.Introduction

1.1 Why did I choose this topic?

In the current trend of global economic integration, no country lives in isolation from the rest of the world. This trend of global economic integration also has an effect on company activities. As a result, international business becomes more significant as a means of reaching out to new markets.

Due to severe competition from countries such as China, Indonesia, Thailand, and Malaysia, among others, Vietnam's wood sector has experienced several difficulties and impediments in recent years. The search for customers and consuming markets was fierce among export wood processing enterprises.

The EU is one of the world's most important economic center, with a significant impact on the worldwide economy in general and on the global economy in particular.

Even though Vietnam's export activities to the EU market have progressed positively and consistently in recent years, the country's goods export turnover remains low, considerably below its export potential. Take advantage of Vietnam's relative comparative advantage when its wood products are the same market items with a large annual import demand. As a result, research to find acceptable strategies to enhance the export of Vietnamese wood products to the EU market is vital, both in theory and in practice.

Based on the previous grounds and the reality in Vietnam, the research topic "Wood export from Vietnam to Europe" is chosen. This is a study of the current state of Vietnam's wood exports to countries in general and Europe in particular, beginning with the current situation of advantages and disadvantages, identifying the strengths and weaknesses for wood export, the factors affecting the export, the advantages and potential of Vietnam's wood exports, and the experience of exporting wood from countries like China, Malaysia, and Indonesia, from which, to propose solutions to export wood to Europe. Obtaining the highest level of efficiency is critical and highly important in Vietnam at this moment.

1.2 Objectives and methodologies

1.2.1 Objectives

The focus of this topic is to thoroughly examine the current state of Vietnam's wood industry, identify the factors influencing the results of production and business activities in the wood industry, as well as export activities, and draw lessons from the experience of other countries' exports, including advantages and disadvantages, in order to propose solutions for Vietnam's wood export industry, to Europe and other countries in the world in the future.

Academically:

- Develop a systematic approach to export theory.
- An analysis and appraisal of the current state of the Vietnamese wood industry in terms

of scale and capacity; advantages and disadvantages for timber development and export; unsustainable manifestations in the process of exporting wood from Vietnam.

- Identifying the elements that influence timber shipments to Europe and other nations.

1.2.2 Methodologies

To complete this research topic, a variety of methods are used, including synthesis, analysis, comparison, and identification of factors affecting wood exports; previous theories about timber exports; analysing the current situation and referencing; inheriting relevant research topics; and studying wood export models from around the world. Since then, I've been honing my talents to find a solution for my thesis on "exporting wood from Vietnam to Europe".

- Collect documents, market overview information, and theoretical underpinnings for export promotion, such as documents, market features for EU goods, EU market rules, and possible products for consumption in the EU market.

This is the basic information, along with an analysis and assessment of the current condition of Vietnamese goods export promotion to the EU, to provide perspectives, orientations, and solutions to promote Vietnamese goods export to the EU. Vietnamese items are being exported to the European Union market.

- Compile and draw lessons from the experience of various nations' wood exports to the EU.

- Analyse and appraise the current state of Vietnam's export promotion operations to the EU; evaluate the elements impacting goods export promotion to the EU market; and, at the same time, identify and evaluate the achieved outcomes, limitations, causes, and difficulties for goods export.

The study's methodology is based on an analysis of the export situation and promotion of Vietnamese goods to the EU market, as well as an evaluation of the EU market's needs and characteristics, the impact of the EVFTA Agreement on the promotion of Vietnamese goods to the EU market, and solutions to promote Vietnam's wood exports to the EU market in the new situation.

- Document research methods: collect data and information on the EU market and export promotion operations; collect, synthesize, and analyse data and information about Vietnam's timber export and promotion to the EU market; examine and learn about the needs and characteristics of the EU market, as well as the factors that influence the marketing of Vietnamese goods in the EU market.

- Student makes comments and assessments as a foundation for proposing solutions to promote the export of Vietnamese goods to the EU in the future, based on an analysis of the export situation, export promotion activities of Vietnamese goods to the EU, and factors affecting the export promotion of Vietnamese goods to the EU.

- Logical method: The thesis examines the current state of Vietnam's wood export promotion to the European Union market and offers specific recommendations based on systematized international theory and experience.

Based on theoretical foundations, international experience, and an assessment of the situation, the thesis explores orientations and suggests solutions to increase promotion activities to boost the export of Vietnamese wood products to the EU market.

New material has been added to the subject.

- Organize and systematize numerous theoretical and practical components of Vietnam's EU market export promotion efforts.
- Make detailed comments and judgements on the successes, limitations, and reasons of Vietnam's export promotion measures to the EU market based on practical analysis.
- Outlining appropriate orientations, perspectives, and scientific solutions for the characteristics of the EU market in order to complete and strengthen Vietnam's promotion activities for the export of wood in particular, and goods in general, by Vietnamese enterprises entering the EU market in the current situation.

1.3 Contribution of the thesis

- The market penetration theory for wood export is organized in this thesis.
- On the basis of examining export experiences of many countries throughout the world, the thesis develops high reference value lessons on Vietnam's wood export.
- These contributions add to the theoretical foundation for export in general and wood export in particular since the thesis provided an assessment for export in general and timber export in particular.
- The thesis has revealed exceptional successes as well as problems that have inhibited Vietnam's wood export in recent years using the wood export assessment criteria.
- The findings of the thesis demonstrate both internal and external factors that influence Vietnam's wood export. This assists timber exporting business leaders in identifying areas of strength and weakness.
- Based on the current status of the factors influencing the work, as indicated by the analytical results. In recent years, the thesis has proposed a number of solutions to improve the efficiency of wood export in the future.

1.4 Research questions for the thesis

- How important is exporting to each country's economy, and what are the benefits of doing so?
- What are the several ways to export from Vietnam to Europe?
- What influences export performance?
- What are the markers of export performance analysis?
- What are the advantages and prospects of Vietnamese wood exports?
- What is the status of Vietnamese typing exports to other countries and the European Union?
- What lessons does Vietnam draw from studying international wood export models?

2. A summary of the literature

2.1 What is the meaning of exporting and what role does it play?

The movement of products or services out of or into Vietnam's territory is defined as "the export of goods or services out of or into Vietnam's territory" Special areas on Vietnamese territory are considered as distinct customs zones under Vietnamese law." Clause 1, Article 28 of the Commercial Law of 2005.) According to Decree 57/1998 / ND-CP, dated July 31, 1998, and effective August 10, 1998, "Export activities Import is the sale of goods by a Vietnamese trader to a country trader outside under goods sale and purchase contracts."

Exports are the most basic actions in international trade. It originally appeared early in the history of social evolution and has since expanded in scope and depth. Their initial version consisted solely of bartering goods, but it has since evolved greatly and may now be found in a number of forms. The purpose of exporting is to produce foreign currency revenues by utilizing a country's advantages in the worldwide labor market. Exports occur in all industries and under all economic conditions, ranging from consumer commodities to capital goods, high-tech equipment and gears.

All of these activities are aimed at assisting both the country as a whole and the participating businesses in particular. Export activity are spread out over a vast geographical area.^[1] As a result, export can be considered as one of the primary drivers of economic growth and development in each country.

Export creates finances for import, aiding the industrialization and modernization of the land country. All emerging countries should take the most appropriate route to alleviate poverty, backwardness, and underdevelopment: industrialization and modernization. The process of industrialization, on the other hand, demands a large quantity of cash to import modern equipment technology. In fact, a country can import capital through the primary sources of mobilized capital, such as foreign investment, borrowing from aid sources, tourism revenue, foreign currency collection in the country, and export revenue.

Foreign investment is definitely important, but it is tough to attract. Borrowers who do not repay their loans ^[1].

As a result, export has grown in importance as a source of capital. The amount of foreign currency exports impacts the rate at which import operations expand, which in turn dictates the size of imports. Export helps to reorganize the economy and boost output. Exports have had a profound impact on the global production and consumption structure.

As a result of exports, a country's economic structure evolves from agriculture to industry and services. The impact of exports on muscle production and mobility can be examined in two ways.

First, only export items that have a higher demand in the domestic market. Production is simply insufficient when the economy is behind and underdeveloped. If

manufacturing industries are merely passively waiting for extra production, exports will be limited to small size and gradual growth. Manufacturing industries are struggling to stay afloat.

Second, think of the global market as a way to organize your growth options. This has a favorable impact on the rearrangement of the economy in order to boost exports.

As evidenced by the fact that exports provide a foundation for industries to collaborate on mutual development. This can be done by developing the textile and garment sectors for export, as well as other industries such as cotton, spinning, dyeing, bleaching, and so on ^[6].

Export aids in the extension of product markets, enabling for the maintenance of the Production Advantage of scale. Export allows for a rise in manufacturing inputs. In addition, export aids in the evolution of specialization and production efficiency in each country. It allows for the broadening and deepening of manufacturing specialization ^[2].

Each product is produced and tested in the first country, manufactured in the second, assembled in the third, and consumed in the fourth in today's global modern economy. The fifth country is where the payment is made. As a result, the reverse effect of specialization on exports can be seen in products manufactured in each country but consumed in just one country.

Export contributes to the creation of jobs and the improvement of people's living standards. In terms of job creation, exports attract millions of people. Export, on the other hand, provides foreign currency that may be utilized to purchase consumer products in order to meet people's increasingly diverse and abundant needs ^[3].

Export is the cornerstone for expanding and promoting international company relationships. The result of reciprocal impacts in export and economic interactions, as well as diplomacy, is interdependence. Exporting sets a strong platform for developing business relationships. Foreign interactions have led in the establishment of new partnerships in the future, such as international tourism, international insurance, international credit. On the contrary, the expansion of these businesses has had an impact on activities once again.

Exports serves as a springboard for more export activity. Exports, in particular, and trade in general, have two effects on the economy's commodity consumption:

Allows for the production of a bigger volume of consumer goods than is now possible. There has been a change in favor of manufacturing characteristics.

However, the impact of exports varies depending on the circumstances of each country. Different countries import various items. ^[3]

First, exporting enables companies to extend their product consumption markets. Not just among domestic clients, but also in international markets, the company's name has become well-known.

Second, export gives firms foreign cash, allowing them to create reserves and so improve their ability to import, replace, supplement, upgrade, and restore machinery, equipment, raw materials, and other development-related items.

Third, it promotes organizations to innovate and improve their management processes on a continuous basis. At the same time, assisting businesses in extending the product life cycle.

Finally, it encourages competitiveness and mutual supervision among exporting units both domestically and internationally. One of the reasons why businesses are under pressure is because of this. Participants must increase the quality of their export goods and pay attention to product expenses in order to compete with customers while saving money ^[3].

Exporting to international markets is a popular strategy because it allows businesses to increase sales, expand market share, and earn a higher profit margin than domestic competitors; expand economic scale, lowering manufacturing costs per unit of product; diversify clients, reducing reliance on domestic markets; and sales fluctuation in a predictable pattern due to economic cycles and seasonal demand ^[4].

2.2 Vietnam exports a variety of products to Europe.

In various export operations, a corporation can boost export turnover in a variety of methods. "On-the-spot export and import products" are goods of Vietnamese merchants (including foreign-invested traders; export processing firms) for export foreign business entities, but the foreign business only designates to deliver or receive goods in Vietnam for other Vietnamese traders.

In Vietnam, an on-the-spot exporter is a person who is entitled to a water trader outside of the delivery designation.

In Vietnam, an on-the-spot importer is a buyer of a merchant's goods who has been designated by international traders to receive commodities from local exporters. The characteristics of the on-the-spot export process are as follows: A foreign trade agreement has been signed with a foreign partner. The commodities of foreign partners must be delivered to a third party in Vietnam; firms must adhere to all on-the-spot customs procedures for import and export; and other tax refund procedures). Advantages of this format increased export turnover; reduced export-related risks; lower export expenses; transportation costs; chemical cargo insurance costs ^[3].

The export procedure is a bit complicated, which is a flaw in this form. A sort of company that exports and exchanges commercial services in exchange for acquiring products from another company and earning a fee. There are important factors when completing an export consignment:

Traders are allowed to allow other traders to export any commodities they choose, with the exception of those on the list of goods that are restricted or temporarily suspended from export. The entrusting party or trustee must have an export license for goods exported under the license before signing a trust contract or trustee. In an export entrustment contract, the rights and obligations of the entrusting and entrusted parties are specified by the parties themselves. Import and export customs processes (opening customs declarations for import and export on the spot) must be followed to the letter, as must other tax refund procedures. ^[5]

Benefits of this format: Increase export turnover; Lower export business risks; Export consignment advantages; Expand the trustee company's export business potential:

customer retention, market. Develop commercial services to assist authorized firms in earning more money through the export cascade; create jobs in import and export sales.

The following are the constraints of this form: Commercial disputes may occur as a result of participants' unreasonable obligations. The export entrusting party failed to fulfill its responsibilities, including processes and the export tax password. The trustee is jointly accountable.

To avoid commercial conflicts caused by fiduciary acts, the trustee and the export consignee should sign an export mandate.

Outsourcing is a method of producing goods for export. People use outsourcing to supply machinery, equipment, raw materials, or semi-finished products according to a pre-determined sample and standard; domestic outsourcing recipients must also manufacture items that meet the needs of their customers. In order for the outsourcer to be paid, all of the outsourcer's products must be given to the outsourcer.

First, outsourcing for export is well-suited to Vietnamese companies with limited investment resources, no brand identity, and a lack of knowledge of foreign legislation and markets, as well as well-known industrial designs. As a result, outsourcing allows export to reach the worldwide educational market to some level.

Second, outsourcing for export allows companies to develop organizational knowledge while reducing risks in the export business because the inputs and outputs of the business process are handled by a foreign outsourcing partner.

Finally, there is a way for employees to make money in a foreign currency while they work.

Processing for export is not without its drawbacks. Export efficiency is low, and the foreign currency obtained is mostly from processing costs, while unit labor costs are reducing as outsourcing units compete fiercely. The amount of reliance on foreign partners is substantial. ^[2]

Small and medium-sized businesses with limited capital; huge corporations that outsource work for export to improve mechanical efficiency while also performing self-employed export ^[20]. A company that makes its own products and looks for clients to sell to.

The following are some of the benefits of proprietary trading: Businesses can improve their efficiency by improving the manufacture or refining of things for high-priced export, as well as finding ways to save money on export trading fees, allowing them to make a lot of money.

For major firms, product quality is synonymous with self-employment.

Assist the company in becoming a profitable transnational or multinational corporation with an increasing number of corporate trademarks and logos by expanding its global market penetration ^[4].

High marketing and customer acquisition costs, as well as a big quantity of capital, are some of the drawbacks of proprietary trading. It also demands the creation of its own brand, as well as its own design and industrial design.

The risk of exporting outweighs the risk of outsourcing for export at all stages. This component of the business process is managed by the exporting company.

A sort of trade in which Vietnamese exporters buy goods from other countries and then bring them back to Vietnam. It was then re-exported to another Vietnamese country without being processed.

The legal bases for temporary import for re-export are as follows: A purchase contract (signed by a Vietnamese enterprise exporter) and a sales contract (signed by a Vietnamese enterprise importer) are the two contracts (signed by a Vietnamese enterprise importing country enterprises).

The many sorts of commodities transfers are as follows:

Without using the Vietnamese import door, products are transported from the exporting country to the importing country; items are shipped from the exporting country to the importing country.

The significance of the re-export temporary import form: Allowing companies to speculate on price differences between countries (buy cheap and sell expensive); Purchase a huge number of low-cost things and break them up into smaller batches to sell to high-priced buyers in other countries; Increase a company's foreign currency revenue; create a balance in the international trade balance between two countries; Resolving instances where the goods of one country are not in demand in the other ^[4].

The company makes money by acting as a commercial broker; if you know how to coordinate between the seller and the buyer, the company can make money without investing any money; The business and administrative costs of border transfers are frequently less than those of temporary import for re-export. ^[6]

The disadvantages of border-gate transfers are as follows: Transfers are a time-consuming, risky, and complex commercial form. Traders must be highly qualified and well-versed in the market, pricing, and foreign payment methods.

Along with the integration process, a contingent of Vietnamese businesspeople is growing by the day, gaining valuable export knowledge, and many enterprises are increasingly using the approach of changing border gates: Accepted to sell agricultural machinery to the United States but bought goods from Chinese merchants and delivered directly to buyers without going through Vietnamese border.

2.3 The criterion for evaluating export performance

The following analysis will be conducted to analyze enterprises' export performance on this basis in order to identify methods to increase export turnover based on strengths and weaknesses:

The following are some of the analytical goals: collect data on the export status of each company's principal export product and create tables and economic indicators for analysis; Make notes and reviews to determine each item's success and defects; Proposing techniques to boost exports for each export item, resulting in a boost in total export turnover ^[4].

Analytical objectives: While conducting the analysis, it is necessary to collect data reflecting the signing of the contract copper export has been carefully over the years of

operation. Separate analysis of the business's benefits and constraints in contract signing and coordination; recommendations for improving the ability to sign and coordinate the correct implementation of contracts signed for export. The enterprise's product is exported and sold at the importer's market in the direct market. In exchange for premium export prices, this market typically requires high-quality items, models, and varieties, as well as food cleanliness and safety.

The intermediate market is a market for buying items for export from Vietnam that have been processed in the buyer's country and then resold in their raw form to other countries. Although the selling prices on these markets are typically cheap, they can be sold in large quantities, large export commodities, and low-quality commodity packaging and demand. Assessing the benefits and downsides of exporting operations in that market; offering methods to maintain and develop the market ^[3] are some of the analytical goals.

How to examine the export scenario using marketplaces: In order to analyze the export status to markets, it is critical to collect data.

Aspects of cost-effective foreign payment channels. In international trade, a multitude of payment methods are employed, with four of the most prevalent being used by Vietnamese businesses:

Payment methods based on collection (Clean collection; D/P; D/A); Payment methods based on money transfer (MT; TT); Payment methods based on payment receipt (CAD); Payment methods based on documentary credit (L / C); Payment methods based on documentary credit (L / C).

Each of the payment methods described above has advantages and disadvantages. Various security and payment expenditures have an impact on the effectiveness of the export operation. Economic factors have an impact on payment method selection:

The economic or organizational relationship between the buyer and seller; Which side is more powerful, a more favorable payment method is often chosen (power and power manifest through monopoly buying or selling; product competitiveness in terms of quality, price, distribution method, and so on); Depending on the buyer and seller's economic or organizational relationship; Capacity for bargaining; Depending on the reputation of your business partner; Depending on the understanding of payment methods by import and export officials: the payment organization's safety and professionalism, the payment service costs; It is determined by the payment policy of the country with whom the partner does business. [4]

Analytical objectives: Using a statistical analytic method, evaluate the use of foreign payment methods in enterprises' export activity over time. - Proposing ideas to improve the efficiency of using payment methods in export performance (payment method efficiency) in order to highlight the firm's benefits and limits in using the payment methods. International activities in export include boosting activity export activities, growing export revenue with low payment costs, quickly recovering capital after export activities, and minimizing hazards in international payments. The International Chamber of Commerce compiled and structured conventional international trade practices into a research report on the economic implications of using Incoterms in exports (ICC).

After researching the economic ramifications of using Incoterms, we arrive to the following conclusions:

First, each Incoterms trade term outlines the needs and costs of each buyer and seller, including import and export procedures, purchase insurance and transit, delivery, and payments.

Second, the price is determined by each commercial condition, thus it is all about the same thing.

The company can develop its export industry by diversifying its internal approaches. Incoterms for export means diversification forms of customer service, diversifying commodity selling prices, and so on in order to meet the needs of each subject consumer image. Economic considerations influence the choosing of Incoterms trading terms.

Factor that can be measured objectively: To encourage the use of services, domestic transportation, and insurance, among other things, the state's systems and rules are used.... It is dependent on the kind of transportation used; it is also dependent on the commercial conditions of the business's consumption patterns. There are subjective factors as depending on the power and influence of the company; When it comes to export-related duties, you can rely on your ability and experience. Importing goods necessitates the rental of a car, the purchase of goods insurance, the manual completion of import and export customs operations, and so on. Depending on the level of import and export operations, knowledge of commercial conditions, negotiation abilities, and so on. It is determined by the import-export mechanism used by the company. ^[5]

Analytical objectives: Evaluate the output situation using statistical methods and Incoterm's knowledge; outline the successes and limitations of using Incoterms commercial terms in export activities using Incoterms commercial terms; propose solutions to increase efficiency when using Incoterms commercial terms in export activities using Incoterms commercial terms. Effective use of Incoterms in export operations is defined as the ability to raise export income, take initiative in business, and increase capacity profitability.

2.4 Factors Influencing Export Performance

2.4.1. Factors that are objective

Export trade is handled by companies that operate under two or more different political and legal frameworks, and market practices shift as well. All entities involved in international trade must abide by domestic and international trade laws. Examine the state's policies and restrictions on internal and international trade. The export regulations, which encourage, restrict, or ban export, are divided into three categories. Regulations governing the taxation of export agents; Regulations governing a company's rights and responsibilities when conducting an export operation; Business must abide by the regulations of the state and not deviate from the country's development path ^[3].

Economic growth and developed domestic production will create favorable conditions for export product production, increasing export goods competitiveness, model import, and quality on the global market; the more advanced a country's economy is, the more competitive its exports will be. On the worldwide market, that country will continue to improve; global economic volatility will have a direct impact on the commodities

market, both domestically and globally, affecting the company's export performance significantly. Exports are also influenced by the banking and financial sectors.

International payment difficulties concerning countries' financial institutions are intrinsically related to export activities. International payments frequently use currencies from different countries, so foreign exchange rates have a significant impact on exports. The more developed the banking and financial system is, the more convenient and quick payments will be, and the more favorable conditions for units to participate in export activities will be created. Exports will be boosted if the domestic currency depreciates against the commonly used foreign currency payment unit, such as the US dollar, the British pound, and so on, while exports will be restricted if the home currency appreciates against the foreign currency. From market research to proper implementation, freight, and payment, infrastructure, communication, and transportation development all have an impact on export activities. ^[4]

The developed infrastructure system will facilitate export activities, resulting in decreased costs for export business units.

In addition, the economies of the region and the rest of the world are becoming more intertwined. Participating in groups: Trade organizations such as AFTA, APEC, and the WTO will have a significant impact on export activity.

2.4.2 Subjective factors are included in the scope of the business.

- A sensible organizational structure can help managers make better use of a company's resources, resulting in enhanced business efficiency. If the management system is ineffective, resources will be wasting and the business's efficiency will suffer.

Company leaders are the company's brains, responsible for formulating corporate strategy, setting goals, and monitoring the implementation of those strategies.

The management level of a company's leaders has a direct impact on its commercial and industrial activities.

Companies' ability to efficiently carry out their production and commercial activities will be determined by whether they have the right strategy in place, in accordance with current market and business conditions, as well as good leadership from their leaders ^[4].

- Each employee's professional credentials and working talents are the most important factors determining business performance. Export company operations can be successful if done by employees with a high level of competence, dynamic, acumen, creativity at work, and experience, grasp of foreign markets, ability to evaluate for projecting market swings, and trading skill. Smart negotiation and understanding of export procedures can surely boost efficiency and assist businesses in achieving their export objectives.

- Capital is a crucial component of any business. The more capital a corporation has, the better its chances of landing lucrative contracts are. Mobilized money, in addition to own capital, plays a vital role in firm activities. Equipment and technical facilities are the firm's capital sources (capital in kind). Enterprises will be able to increase their efficiency if they are given with modern technical facilities that are perfect for

manufacturing ^[4]. The better a company's competitiveness, the faster its products may be sold.

A company's brand, financial capacity, product quality, commodity prices, marketing strategy, connected services, and so on, all influence its competitiveness.

2.5 Development Trends in the Global Wood Market

The worldwide wood product market has evolved in recent years in accordance with the mechanical tendencies listed below. To begin with, in terms of raw material groups, fuel, and remuneration, it is a major corporation. After oil and coal, food, light industry door products, and handicrafts are the world's third most valuable commodities.

Second, in the coming years, the import growth rate is predicted to be approximately 7% to 8% each year. This rate of expansion is more than twice as rapid as the brand's overall expansion. Commercial demand is thought to be significantly greater than supply. A fantastic opportunity exporter is the name given to this type of exporter. ^[13]

Third, the designs of wood types are highly diverse and rich, with over 12,000 different varieties ranging from raw to refined wood items. Vietnam's wood exports are today fairly diverse, and it competes in 120 countries and regions across the world, as well as in 10 countries as a leading exporter in the US market, with a wide range of wood products ranging from ornamental items to house interiors. Only wood and wood products manufactured on industrial lines are permitted. The value of Vietnam's exports is in the billions of dollars ^[3].

Fourth, the United States, the European Union, and Japan are rapidly moving from wood-exporting to wood-importing countries.

2.6. Vietnam's wood products have a great deal of export potential.

Vietnam's wood export turnover is rapidly increasing, with Vietnamese wood exported in over 120 countries and regions. Since 2004, Vietnam's exported wooden furniture has been a member of the "Club of One Billion Dollars" and has become the country's primary export product. At the same time, this product helps to Vietnam's internationalization. Vietnam was placed among the "Top 10 countries that export enormous wooden furniture to Asia" and the "Top 10 countries that sell the most wooden furniture to the United States," according to researchers. The following are the main advantages and possibilities:

Vietnam (about 97 million people) is a vast country with a young population (the labor force accounts for over 50 percent).

There are currently 2,234 firms and facilities that manufacture and treat considerable volumes of wood. Workers in the manufacturing sector were expected to make up 0.61 percent of the workforce, but they accounted for 3.85 percent of the country's total export revenue. Because of the country's poor economic development, labor costs in Vietnam are just 1/3 of those in Thailand, 1/30 in Taiwan, and 1/26 in Singapore. ^[13]

This workforce is both abundant and skilled, with the ability to acquire and use science technology swiftly. In countries such as the United States, the European Union, and Japan, this attribute allows Vietnamese products to have great quality while remaining competitively priced. In the wood processing sector, raw materials and manufacturing

technology contribute for about 60-70 percent of the processing value, with the balance owing to the workers' constantly generated abilities. When products of the same sort are built on the same technological line, Vietnamese products are more sophisticated than products made in China, Indonesia, Taiwan, and other Asian countries. Furthermore, workers' abilities contribute on reducing the number of errors and enhancing the manufacturing process' efficiency.

In the meantime, the global rate of by-products in the manufacturing and processing of wood products is quite high ^[5]. Humans are an infinite resource that is becoming increasingly important in the development of any sector, including the manufacturing of industrial wood products. Mr. Shigeru Takayama, a senior consultant at JETRO, believes that Vietnam is the only country capable of competing with China in commodities exports. For a multitude of reasons, wood became popular in Japan, the most important of which being labor. Vietnam's caves are excellent, plentiful, and inexpensive.

- Although not on the same scale as Indonesia's and Malaysia's dense rainforests, Vietnam's forest has an advantage over China, and the species quality is comparable to that of Indonesia and Malaysia.

However, this market has become far too "hot" in recent years, necessitating the hiring of new employees.

The forest was quickly depleted. According to projections by the Ministry of Agriculture and Rural Development, 3 million cubic meters of raw logs are required every year to achieve a USD 1 billion in wood product export turnover. Our government, on the other hand, has established a restriction on wood exploitation in natural forests of 300,000 m³ ^[7].

The geographical position of Vietnam, as well as the tropical climate, are excellent for the development of natural and planted forests. The vast Central Highlands, with its red basalt soil along the Truong Son range, is especially suitable to forest growth and regeneration, therefore the natural forest supply, despite its modest reserve, is due to the significant potential for plantation expansion over the period.

A rubber tree, sometimes known as a periwinkle tree, can be harvested after only 4 years of growth, although it takes 30 years in Northern Europe. Program 661 "afforestation," which began in 1998 after the Vietnamese government developed Program 327 "Greening barren hills" in 1993, has become the cause of the entire community "for the benefit of 10 years planting trees." ^[7].

- Vietnam has commercial ties with about 200 countries throughout the world, including major actors like the United States, the European Union, and Japan.

Vietnam has received bilateral most favored nation treatment (MFN) from these nations, and the country is working to join the World Trade Organization (WTO) and other international organizations. The market for open trade liberalization accounts for 90% of the global market. Investment in direct marketing, Vietnam's necessary investment capital is made up of 20% foreign direct investment.

Vietnam has been and will continue to be a viable commercial partner with foreign partners, according to the impartial assessment. In particular, management and incentive

structures and strategies. In order to assure substantial profit margins for firms, the government is increasingly open to afforestation, processing, and export of wood.^[7] As a result, Vietnam's wood industry is rapidly expanding, making wood one of the country's top seven export commodities. Vietnam has risen to become one of the top four exporters of processed wood products in Southeast Asia.

2.7. Trade Policy of the European Union

The EU's trade policy includes agricultural protection, environmental protection, and consumer health protection. The EU encourages indigenous agricultural output while imposing high tariffs and quotas on rice, sugar, bananas, and cassava chips imported from other countries. The origin, food hygiene, and safety laws are all strictly adhered to.

Aside from WTO commitments, the EU has signed a slew of regional and bilateral trade agreements and preferential agreements, reserving the full MFN regime for products imported from Australia, Canada, Taiwan, Hong Kong, China, Japan, Korea, New Zealand, and Singapore, as well as other bilateral industry agreements.^[12]

The EU retains tariff quotas for a number of commodities, gradually reducing the value and quantity of subsidized exports, in addition to its WTO commitments to open markets in agriculture. In a number of service areas, including basic telephony, banking, and audiovisual services, the EU has made specific commitments to follow the unified timetable of GATs.^[9]

The EU uses a variety of measures, including customs procedures, rules of origin, tariffs, indirect taxes, permits, safeguards, norms, and quality criteria, to directly influence imports into its territory. commodities, anti-dumping.

When dealing with countries outside the EU, all EU member states must develop a united foreign trade strategy. In terms of negotiating, signing trade agreements, and resolving disputes, the European Commission is the Union's single representative.^[9]

The EU's foreign trade strategy includes both autonomous and agreement-based trade policies that emphasize nondiscrimination, transparency, reciprocity, and fair competition. This strategy frequently employs tariffs, quotas, technical obstacles, anti-dumping, and export subsidies.

The EU is implementing a trade liberalization agenda to expand goods (gradually reducing tariffs on import and export goods and moving towards eliminating quotas, GSP). Between EU member states, imports and exports are subject to a single tariff. Agricultural things are taxed at an average rate of 18 percent, whereas industrial goods are taxed at a rate of 2%.^[21]

Some customs laws apply to import and export activity.

- Free circulation: Items imported into the EU, like goods produced in the EU, can freely circulate in the territory of EU member states after paying the prescribed import tariffs.
- Processing in the EU: Allows EU manufacturers to import semi-finished products or raw materials into the EU for processing and re-export inside the EU without paying customs or VAT. There are two types of tax relief: tax exemption or prepayment, and tax refund.

- Customs-controlled processing: When processed goods are released into the open market, they are subject to a lower tax rate (for example, PVC materials subject to an 8.3 percent tax rate may boost successful film production with a tax rate of only 2.7 percent). The difference in import tax rates will be used to keep or increase the outsourcing activities of the community. ^[12]

- Customs warehouse: A customs warehouse allows businesses to store imported goods in the community while paying taxes and re-exporting them whenever they choose.

The amount of work and processing permissible for objects kept in customs warehouses is limited in terms of product preservation. Processing for community sale or customs control processing in a customs warehouse are also alternatives.

- Free zone: A free zone is a designated area within the European Union's customs territory. The goods in this region are exempt from import tariffs, VAT, and other import taxes. Community goods are assumed to have been exported in this region, and imported things are not considered to have been imported into the community. ^[9]

The free zone is used to store objects that are not of communal origin until they may be released into free circulation.

- Temporary import: Items that can be used in the community without paying import tax or VAT if certain conditions are met, but there must be re-exported in the same condition as when they were imported.

In this category, the EU allows for oral declarations (e.g. customs replies as is the case for carry-on baggage). In addition to the oral statement, Customs may need a list of items.

- Products in transit: EU customs legislation allows goods to transit through EU customs territory as long as they adhere to the transit procedures standards (Including separate guarantees; means of transport; declarations under regulations; completion of customs formalities at departure, on route and at destination; customs control procedures for exiting goods.) ^[12]

3. Situation of Vietnam's wood exports

3.1 An overview of the current situation of Vietnam's exports.

Vietnam's exports have performed successfully since the EVFTA went into effect. Vietnam's total export turnover to the EU and UK markets was USD 3.77 billion in August 2020, up 2.9 percent from the previous year. In September, Vietnam's exports to the EU and UK markets were USD 3.54 billion, up 7.9% year on year. According to the associations, in the past, firms have studied and responded well to C/O situations in order to take advantage of incentives.

In 2019, the value of wood and wood-products was USD 8.52 billion, increasing 17.8% over the same period the previous year. Even during the COVID-19 outbreak, Vietnam's wood sector continues to grow. Exports were more than USD 12 billion, 16% increase over the previous year. Non-timber forest products climbed by 38.4% to USD 243 million, while wood and wood products exports increased by 41.5% to USD 3,699 billion. Wood goods, wood chips, pellets, peeled boards, and other wood products are the main exports of Vietnam's wood sector, with significant consuming markets including the United States, China, Korea, Japan, and the European Union ^[10].

The COVID-19 epidemic had a substantial impact on the wood industry in April and May 2020, causing a disruption in the export market, delayed orders, and the closure of several wood industry enterprises. The timber sector, on the other hand, has taken a big leap forward since the end of June 2020. The wood sector's success in 2020 is due to inventiveness and imagination on the part of the business community, as well as timely government support, and the industry has taken advantage of tax breaks offered to other industries. The FTA was signed in order to assist importing countries in improving their competitiveness, expanding their markets, and gaining market share.

As a result, the wood sector grew significantly last year, with export turnover of USD 12.37 billion, up 16.2% from the year before and exceeding the target suggested by the Ministry of Agriculture and Rural Development (Agriculture and Rural Development).^[10]

3.2 The current situation of European wood exports

3.2.1 Exports of wood to Europe

Vietnam's trade relations with the European Union have advanced quickly and efficiently. Bilateral commerce between Vietnam and the EU increased by almost 13.8 times between 2019 and 2000, from USD 41.54 billion in 2019 to USD 56.45 billion in 2020, with Vietnam's exports to the EU increasing by about 15 times.

Table.1: The current state of Vietnam's wood exports to Europe

Unit of measure: USD billion (billion of US dollars)

Year	Value	Comparing %
2018	38.9	4.0
2019	41.54	6.8
2020	56.45	35.9

Source: Vietnam Customs General Department^[22].

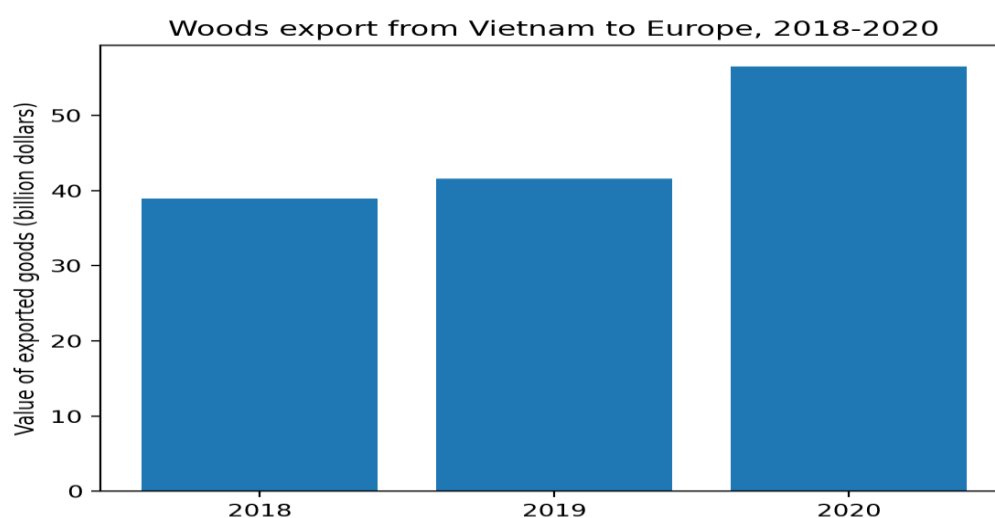


Figure 1: The current state of Vietnam's wood exports to Europe.

3.2.2 Exports of wood to the Czech Republic

Wood product export turnover is expected to reach USD 9,535 billion in 2020, up 22.5% from 2019 and accounting for 77.22% of total wood export turnover, up to 73.67% in 2019.

By 2020, wood exports would be ranked sixth in terms of total goods and commodity categories exported from Vietnam. Facing the worldwide economic slump, however, this year could be described as a "miracle year" for Vietnam's wood exports. However, there are still many barriers to export goods to this country.

In the first months of 2021, Vietnam exported over USD 87.07 million to the Czech Republic, bringing the total two-way trade to USD 120.5 million, with wood shipments to the Czech market increasing dramatically to USD 0.33 million. As a result, Vietnam's wood exports to the Czech Republic are steadily increasing year after year.

Unit of measure: billion USD

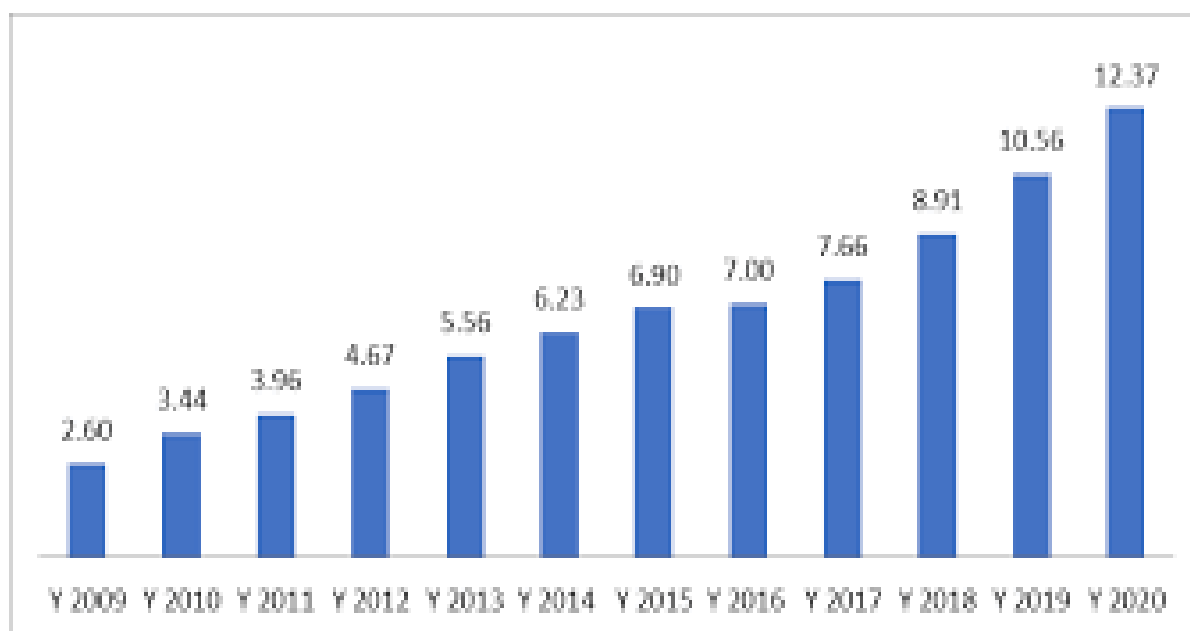


Figure 2: The current state of Vietnam's wood exports to the Czech Republic.

Source: Vietnam Customs General Department ^[22].

3.3 The current condition of export prices for wood products

With an average growth rate of 10% to 20% per year, wood products, which are abundant in both resources and labor, have a fantastic chance in terms of selling prices of finished items.

However, due to the rapid increase in the price of imported wood materials, which is on average 10-30% per year (wood materials account for 6% of product cost), Vietnamese wood enterprises are at risk of losses, which is higher than the 10% increase in the selling price of finished products over the same period. The elements that contribute to an increase in the price of wood products exported are as follows:

- First, Vietnam increases direct exports to all markets, with a focus on large markets with price advantages, such as the United States, the European Union, and Japan.
- Second, a significant reduction in intermediary exports.
- Third, to develop and expand relationships with more than 120 export markets around the world that are complementary to established markets.
- Fourth, the structure of wood products has improved, with the percentage of raw goods dropping and the percentage of institutional goods continuously increasing. Businesses have put a larger emphasis on direction in recent years, securing multiple export contracts for finished goods and increasing the sophistication of processed goods. ^[13]

Table 2: Factors affecting the price of Vietnamese wood exports.

Factors	Percentage of the total cost
- Primary source of income	55 - 62%
- Salary and insurance costs	8%
- Cost of power and energy	15%
- Enterprise Cost Management	5-7 %
- Repairs and depreciation of fixed assets	1-2 %
- Costs not related to manufacturing, such as transportation and other expenses	6-16%

- Fifth, Vietnamese enterprises are beginning to develop international trading skills and clearly define their export strategy, and buyers are increasingly appreciating the quality of Vietnamese wood goods. As a result, the product's export price in the big-country market has continuously improved.

Despite the fact that the cost of exporting wood products has risen, the cost of producing and exporting wood products has risen for the following reasons: With its high and rapid growth, Vietnam's wood export business is facing significant challenges in terms of raw materials, especially because the country has a policy preventing companies from exploiting natural resources and only permitting them to use planted forests. While afforestation is carried out at an insufficient rate, it provides only a small portion to the wood processing sector in Vietnam ^[11].

3.4 The quality of Vietnamese wood goods exported

While Vietnam has not yet established a standard system for exporting wood items and businesses have not yet printed and distributed brochures, the quality of exported products has always been the top priority of Vietnamese wood industry aside the distribution and professional standards of businesses.

In terms of technical specifications, legal regulations related to the extraction and export of timber, such as FSC (Forest Stewardship Council), CoC (Chain of Custody) certificate, packaging, designation, design - model, and design of wood material source standards, a high-quality wood product must fully meet the requirements of international markets. However, nowadays, importing countries are required to have FSC and CoC certificates, which are rather costly when compared to the financial value of the product. ^[13].

Due to Indonesia's frequent usage of illegal timber, several foreign partners are currently refusing to acquire Indonesian wood products. As a result, a large number of contracts are moved to Vietnam. Unfortunately, many Vietnamese enterprises lack forest certification, making it impossible for them to complete the enormous orders. In order to avoid deforestation, the afforestation provinces have planned hundreds of hectares of

forest land to offer residential land, productive land, and stabilize the living zone for local migrants, but the land allocation method is still in progress, slowly, signaling that the forest's integrity is still under threat. ^[22]

To undertake sustainable forest management based on forest principles and standards, countries employ their own set of rules. These sets of standards must be approved by the FSC before they may be used for certification in that country or region. In conjunction with the Ministry of Agriculture and Rural Development, the Department of Forestry Development, the Forest Protection Department, and a number of forestry-related enterprises, the International Fund for Nature Protection held seminars in Vietnam. On sustainable forest management, the Vietnamese National Working Group on Sustainable Forest Management was formed, and a national forest management standard was developed. On the other hand, Vietnamese wood firms and forest management units are still uninformed of the need for forest certification ^[11].

Despite investment in pre-processing raw wood processing has increased in recent years, it has not kept up with expanding demand. This is a criterion that ensures product quality while exporting to temperate nations. Technical criteria such as order size, product surface, dryness, glossiness, and machine fumigation have been used to evaluate Vietnamese wood in other nations. The manufacturing work has been upgraded in accordance with technical standards, modern electrostatic painting lines, wood printing technology.

Vietnamese wood is becoming increasingly abundant and acceptable to customers' tastes when compared to regional countries such as China, Indonesia, Malaysia, and Europe. A major predictor of the quality of exported furniture is the strict humidity requirement along with proper wood drying and an equilibrium moisture state until the product is used up. Because of Vietnam's tropical climate, especially during the rainy season, this is a particularly difficult need in the manufacturing, storage, processing, and shipping processes. The problem of maintaining wood in a controlled environment to meet these standards has now been addressed by Vietnamese timber (building large wagons that control the temperature and humidity for the wood). ^[13]

The wood industry is one of the industries that has a lot of potential and is rapidly expanding. It also has an impact on a number of other fields, including as the economy, society, and the environment. A range of causes are causing significant changes in the wood industry in general, and the wood supply and demand market in particular.

This has been demonstrated by data on wood production and the global expansion of the wood sector. In particular, since 2016, the output of wood has continued to expand at a consistent rate of 3% to 6% each year, showing a sustainable trend. The most widely used types of wood in the world are logs, boards, sawn wood, and fuel wood.

With leading condition, the wood industry is well positioned to expand fast and sustainably. In addition, the supply and demand for wood will expand in lockstep with the market's expansion and demand. For the global wood sector in general, and Vietnam in particular, this is both an opportunity and a challenge, especially in the context of the current challenging situation caused by the COVID-19 outbreak. ^[11]

3.5 Structure of exportable wood products

Vietnam's wood exports have advanced from simple raw materials (logs, sawn timber, etc.) to more complicated machining with technologies such as impregnation, drying, surface decoration, resulting in relatively complete products with high-tech value added.

Vietnam's wooden exports are divided into four groups:

- Garden furniture, benches, parasols, swings, and other things made entirely of wood or with wood and other materials such as iron, aluminum, or plastic make up the first category of outdoor furniture.
- Furniture, beds, closets, bookshelves, toys, and flooring produced entirely of wood with the addition of other materials such as leather or fabric fall into the second category of furniture products.
- Handicrafts produced mostly of natural forest wood, such as tables, chairs, and cabinets, which use carving, carving, mosaic, and other techniques, fall into the third group.
- The fourth category is made up of woodchips from fast-growing trees like acacia and eucalyptus.

The Vietnamese handicraft wood industry is developing in terms of quality, variety of patterns, and quality could extend over a lifetime, in addition to the rise of the wood processing industry. From tables and chairs to statuary, jewelry, and cookware, there's something for everyone. ^[22]

3.6 Exporters from Vietnam should concentrate on the European Union market:

- First, tariffs and import quotas: in the EU, all wood products, including raw wood and wood products, are subject to import charges and taxes, which vary depending on the product and the country of origin. The percentage ranges from 0 to 5.6 percent.

High-quality accessories, seats, and furniture constructed of rattan are available. GSP (Generalised Scheme of Preferences) preferential tariff rates support developing countries on two levels: developing countries gain from lower taxes, while least developed countries benefit from tax exemptions. GSP, on the other hand, does not apply to countries like China and Indonesia that create a lot of furniture. Furniture imports are not subject to quotas. Imported wood products currently face a 15-25 percent Value Added Tax (VAT) in the EU, with the number varies by nation.

- Second, the EU restricts the use of hazardous agents for wood treatment, such as Creosote, Arsenic, Borax, Formaldehyde, and other similar chemicals. Construction materials must comply with specific laws for product durability, fire resistance, environmental protection, health and hygiene, and safety.

Since April 2004, the European Committee for Standardization (CEN) has required the CE label to be quality-certified; emphasis on ISO 9000, ISO 9001, ISO 9004, and ISO 14000 standards for quality management in wood production; Inter-European Forest Certification Organization (Pan - European Forest Certificate) regulations on forest certification (Forest Stewardship Council - FSC).

Forest certified timber products have many more competitive advantages than unlabeled variations, such as higher prices (usually approximately 30% and more) and easier market access. Chain of Custody (CoC) certification guidelines are established on an FSC basis to ensure that goods from all aggregate timber control locations are of forest origin. The government safeguards forest resources. ^[10]

- Third, environmental, social, health, and safety regulations: exporters must show and verify that endangered timber cannot be traded internationally. Production must adhere to a number of labor health requirements, including labor safety, chemical safety, low noise and vibration, factory settings, and measurement criteria. Business ethics are vital, according to SA8000.

- Fourth, packaging, labeling, and symbol standards: The EU has issued Directive 94/62/EC, which regulates strict packaging and packaging waste standards, particularly to ensure certain and safe transportation by sea; The packing method must clearly identify the quantity, weight, type of wood, and type of cargo, not only during transportation.

Packaging's competitive advantage demonstrates its environmental friendliness, guaranteeing that importers do not incur large costs in the importing country's market processing packaging waste, materials that can be recycled or reused for packaging.

- Fifth, consumers over 45 years of age, choose the furniture consumption trend because they prefer to re-decorate their furniture when their children move out, they have more time and money to spend than other age groups, and they have more time and money to spend than other age groups.

- Sixth, due to a rise in the usage of multi-function compact lift furniture due to a growth in single families divorcing (single households account for 2/3 of total residences in Europe), room design is smaller.

- Seventh, increase wooden furniture consumption during the construction of new homes, the relocation of existing homes, the birth of a child, the wedding season, the Christmas season at the end of the year, and the Western New Year (accounting for over 30-80 percent of the total furniture consumption). Regardless of the fact that each country was lost).

- Eighthly, when it comes to wood products, European customers place a high value on quality and ease.

- Ninth, as opposed to FSC, information on purchasing wood products to European customers, mostly over the Internet, with a focus on the most up-to-date information on models, labeling, costs, and after-sales service.

- Tenth, increase the likelihood of buyers purchasing furniture separately to match their existing furnishings.

- Eleven, the most advantageous distribution channel for wooden furniture in Europe for developing country exporters is to set up a warehouse system in one of the EU member states; develop close relationships with importers so that they can provide information on local markets, specific guidance on consumption trends, raw materials, and quality requirements; and distribute through domestic manufacturers.

Distribution in the EU market through buying agents with offices in the supplying nations and sales agents with their own warehouses, shops, and supermarkets; distribution through buyer organizations to eliminate middleman costs; direct penetration of exporters through their own retail chain stores. ^[11]

3.7 Research into the wood-exporting countries' models

Asian countries such as China, Taiwan, Malaysia, Indonesia, Thailand, Vietnam, and the Philippines have had important competitive positions in the US, EU, and Japanese markets till today, with China, Malaysia, Indonesia, and Thailand providing the most effective lessons.

3.7.1 China

The following factors have been credited with China's success:

- Promote significant competitive advantages: the third richest forest resource in the former Soviet Union and America; a large team of employees with low wages and extensive experience dominate the market; sensitive wood art.
- Fully exploit the export wood processing industry's inherent strength in terms of attracting investment capital and receiving technology transfer.

China has a strong investment policy for trade promotion, with the goal of increasing market share for wood products, making it a hotspot for importers. The Chinese government plans to provide certification-based training to employees in order to help them find work promptly and effectively, thus meeting the industry's labor needs.

The government also plays an important role in storing materials for the donation economy, resolving the raw material shortage in the wood processing and export industry, and prohibiting private investment and capital support in terms of production conditions such as electricity, water, and surface by. As a result, the export turnover is fastly increasing and already accounts for over 30% of the wood furniture market share in the United States.

- Rather than exporting indiscriminately, selecting the standard of export products based on the major direction, market demand appropriate for each time, and international competitive advantage is wasteful or ineffective. Based on the two countries' competitive positions in global commerce, a thorough evaluation of the export features of crab wood is required when adapting China's wood export lessons to Vietnam's wood exports. Businesses evaluate the association between objective and subjective factors that affect export efficiency. ^[14]

3.7.2 Malaysia

Malaysia continues to be the world's largest wood exporter, accounting for one-third of global output. Malaysia's wood product exports are among the most successful in meeting the "export-oriented industrialization" strategy's goals. The following are some key lessons for Malaysian success:

- Unwavering dedication to a stringent quality management strategy and system

With the Program Industrial Development (IMP) seeking to make Malaysia into a manufacturing powerhouse and exporting high-quality furniture all over the world, the raw wood export market has grown very quickly.

However, rising labor costs cause a problem to wood goods to be exported. Malaysia is less competitive than China, and illegal raw wood exports have hurt Malaysia's ability to access low-cost native raw materials. If Malaysia continues to develop its wood export route in the same manner as previously, some experts believe the country will suffer a supply shortage and raw material prices will rise.

Proposing a number of alternatives for intervening in price hikes to increase wood supply. Malaysia has agreed to a public timber trade arrangement through the two countries' designated ports to curb illegal wood exports, which largely occur between Indonesia's Kalimantan and Malaysia's Sarawak border. The agreement on timber sold through unregulated ports are illegal ^[14].

- Companies focus on improving quality and design, focusing on high-tech products, migrating from quality to quality, and focusing on markets, such as targeting a potential market in the EU with high consumption but difficult to penetrate.
- Make the shift to raw wood imports gradually, focusing on hardwoods from North America and Europe. In order to relieve pressure on the excessive use of rubberwood materials in the domestic capital required for long-term development, Europe aspires to produce high-quality export products to service the EU and US high-end markets.
- Actively promote the benefits of concentrated forests for wood export while also emphasizing the importance of environmental and forest resource sustainability.

Malaysia has altered its focus from selling log wood to exporting sawn wood as a result of the fast loss of forest resources in recent years. Plywood increases the product's value while also creating jobs. ^[14]

- The government has always aimed to encourage maximum timber export in accordance with specific policy needs, such as: no export tax on raw wood products, sawn timber, plywood, and molded timber except log timber - 15 percent of export revenue comes from export; abolish export quotas on sawn timber to save Vietnam and Chinese markets. Overall, the government's supportive policies have benefited Malaysia's wood export business by cutting production costs, attracting foreign investment to construct a bridge for technology acquisition, creating more jobs, increasing revenue, and reviving the export industry. The most important industry in the economy is now wood.

3.7.3 Indonesia

Among its successful initiatives are:

- Indonesia has limited the export of unprocessed lumber in order to attract Taiwanese and Korean firms to set up manufacturing facilities in the country.
- The private sector's international business climate has substantially improved. This is the world's largest producer of tropical plywood, accounting for more than two-thirds of all tropical wood imports to the United States.

The government has adopted adjustments targeted at decreasing costs and time due to delays in customs, shipping, inspection, and warehousing of products at the port. The

tax band has also been changed to reduce the marginal tax rate and standardize taxable sales.

- Export promotes economic rearrangement and increased output.

Exports have had a significant impact on the worldwide structure of production and consumption.

The economic structure of a country shifts from agriculture to industry and services as a result of exports.

There are two approaches to look at the impact of exports on muscle production and mobility. The economic structure: To begin, only export items that have a higher demand in the domestic market. ^[14]

When the economy is behind and underdeveloped, production is essentially insufficient. Exports are confined to small scale and slow growth if manufacturing industries are only passively waiting for excess production. Manufacturing industries are unable to thrive.

- Second, consider how to organize development opportunities on a worldwide scale. This has a positive impact on economic reorganization in order to increase exports. Exports give a basis for industries to collaborate on mutual development, as proven by the fact that exports provide a foundation for industries to collaborate on mutual development. This can be accomplished, for example, by developing the textile and garment industry for export, as well as other industries such as cotton, spinning, dyeing, bleaching.

Export aids in the expansion of product markets, allowing the production advantage of scale to be maintained. Export facilitates the acquisition of production inputs and increases the size of a country's consumer market. It enables a country to consume considerably bigger quantities of all things than those that limit its ability to produce, including those that it cannot produce. Export contributes in the advancement of specialization and the efficiency of production in each country. It allows specialization in manufacturing to grow in both breadth and depth. In today's worldwide modern economy, each product is created and tested in the first country, manufactured in the second, assembled in the third, and consumed in the fourth. The payment is done in the fifth country. ^[15]

As a result, specialization has the opposite effect on exports for commodities made in each country but only consumed in one. An important issue is the manufacturing currency used as a means of payment, export. Exports help a country's foreign currency reserves to expand.

Foreign money earned through exports can be used to replace currencies that cannot be traded in developing countries. As can be seen, exports play an important role in managing foreign currency availability, stabilizing output, and contributing to growth and development.

As a result of export, people have a positive impact on the development of jobs and the improvement of their living situations. Exports attract millions of individuals in terms of job generation. On the other hand, export generates foreign cash that can be utilized to buy consumer goods to meet people's more diverse and numerous requirements.

Expansion and promotion of overseas business ties are built on the foundation of export. Export and economic ties, as well as diplomacy, have mutually beneficial effects and dependencies. Exporting is an excellent approach to begin building business relationships.

Foreign interactions have resulted in the formation of new partnerships in the future, such as international tourism, international insurance, international credit. On the contrary, the expansion of these enterprises has once again had an impact on activities. Exports serve as a platform for increased export activity.

Exports, in particular, and trade in general, can be said to affect commodity consumption in the economy in two ways: Allows the amount of consumer products produced to outnumber the amount produced. In recent years, there has been a change in favor of manufacturing characteristics.

However, the impact of export is dependent on each country's unique circumstances.

3.8 Achievements and failures in Vietnam's exports.

To fully leverage the natural export possibilities of the wood processing industry, including attracting investment capital and securing knowledge transfer. Both the government and the Wood Industry Association must provide clear direction. Vietnam has a strong investment policy for trade promotion, with the goal of increasing market share for wood products by hosting large-scale specialized fairs every year.

- The government should have a framework in place to train people through certification so that they can find jobs fast and meet industry labor norms.
- A prohibition on the export of raw wood has been implemented to encourage residents to stay in their houses. Lowering production costs, attracting international investment to construct a bridge to technology acquisition, expanding employment, and making wood export a major business in the economy are all benefits of local production ^[15].

3.9 Overall evaluation

3.9.1 Advantages

- The Voluntary Partnership on Forest Law Enforcement, Governance, and Trade (VPA / FLEGT) between Vietnam and the European Union (EU) will mark a turning point in the country's timber exports. This is an option for a school.
- Thanks to VPA/FLEGT, Vietnam has a strong position in the worldwide wood value chain and market. In order to implement the Agreement, Vietnamese firms must adhere to international conventions and standards in a professional, public, transparent, and consistent manner. This is the factor that will influence the value of the wood industry in the future. On the other hand, Vietnam has the opportunity to make a variety.

Furthermore, the Agreement provides a large market for the Vietnamese wood sector, allowing it to sell without worry of being forced to price.

- According to Vietnamese wood, the European Union is a critical market. The signing of the VPA/FLEGT will make it easier for Vietnamese wood products to enter European countries directly, by passing the requirement for a middleman.

- The Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) presents three significant prospects for Vietnam's wood sector:

+First, all tax lines have a 0% effect, which is a significant benefit for businesses.

+Second, reducing import tariffs on technology and equipment makes it easier to buy machinery, equipment, and technology from developed countries like Japan, Canada, and others, which leads to increase production and value.

+Third, enlisting the help of strong foreign partners would assist Vietnamese businesses in strengthening their corporate governance capabilities, resulting in enhanced efficiency in the country. ^[16]

When the Agreement went into effect, Vietnam's legislative environment was significantly improved, allowing the wood sector to expand its market not only to the EU, but also to many other markets, with a potential rise of 10-15%. Orders have increased as a result of the partner's belief that Vietnam is dedicated to implementing the Agreement.

One advantage of acquiring Vietnamese products when it comes to wood exports is that Vietnamese enterprises have passed on a wealth of information about global markets. Client preferences, standards, product volume, and even financial support.

Although the EU continues offering Vietnam a universal preferential tariff (GSP) regime, this is a unilateral preference based on the EU, whereas the EVFTA is a bilateral preference based on Vietnam and the EU. ^[15]

Despite its immense potential for expansion, Vietnam's wood industry still has a long way to go to develop the supply and demand market. Numerous units, ranging from all levels of government to industry-related enterprises, must work together to solve this problem. The most critical issue is securing raw resources, labor quality, investment capital, infrastructure, and management expertise.

Vietnamese wood processing companies' internal strength is continuously growing, in addition to their strong production capabilities and innovative machines. Design investment, in particular, has boosted the sector's worth significantly.

The government should have measures in place to encourage the planting of production forests and to ensure the quality of raw wood. Initiatives to modernize technology and cultivate human resources are required on the part of business units in the wood sector. This is a vital issue since it not only helps to increase output product quality, but it also helps to lower manufacturing costs, product expenses, and safeguard the environment. ^[16]

The Agreement will be completely implemented after the license system for the implementation of the Law on Forestry, Governance, and Trade (FLEGT) is in place. Following that date, every shipment of Vietnamese wood and wood products exported to the EU will be accompanied by a FLEGT license. FLEGT licensing will ensure that it complies with EU wood legislation, which aims to prevent illegal wood imports into the EU market.

3.9.2 Difficulty

While the VPA / FLEGT offers many opportunities for Vietnam's wood sector to export timber to the EU market, it also comes with a few of challenges.

When the Agreement takes effect, it will affect all businesses, including non-exporters, because it demands and emphasizes the transparency of wood materials. This is something that has so far just aroused the interest of the exporting unit. As a result, firms must produce in a more transparent manner and conform to the Agreement's requirements to the letter. ^[13]

Regardless of whether they employ domestic or imported raw materials, businesses must keep track of their records, documentation, and legality. As a result, organizations must expend a great deal of work to ensure unmistakable traceability, leading in higher expenses.

Furthermore, Vietnamese firms must cope with a paucity of raw materials for export. In China's wood processing and export business, 60 million m³ of wood are projected to be in short supply. As a result, they will shop in markets all around the world, including in Vietnam. The Vietnamese economy is put under a lot of strain as a result of this. Meanwhile, Myanmar, Cambodia, Laos, and other Southeast Asian countries have kept their export bans on logs and sawn wood from planted forests in place, reducing supply. ^[15]

- The challenges of geography, culture, linguistics, and politics are all real. Language hurdles, geographical distance, business challenges with immigration procedures, a lack of direct flights in many locations, and other factors all have an impact on the cost of goods and transportation. Exports from Vietnam are restricted to Russia, Eastern Europe, Africa, Latin America, and West Asia.

- Difficulties in the trend of protection, high standards in import markets, such as quite strict technical regulations with the goal of protecting human health, the environment, and sustainable development; policy of high protection for domestic agricultural production in many countries; new quarantine testing and strict inspection of food hygiene and safety of agricultural and aquatic products exported by Vietnam; strict and complex packaging requirements.

Furthermore, the assessment procedure and laws for authorizing the import of a wide range of agricultural products into a country can take years, and the importing country evaluates each product separately. ^[15]

Vietnamese enterprises' ability to participate in international trade - Due to a lack of financial resources, Vietnamese enterprises have limited options to participate in specialist fairs and exhibitions in developed countries in Europe and America, despite their best efforts. Financial investment is required for market research and development, yet the majority of Vietnamese enterprises are small and medium-sized. Wood is a highly specialized commodity that comes in a wide range of varieties, types, and names, depending on the location and economy. As a result, the customs office's timber product inspection and verification procedures are currently limited, with the principal approach being measuring and checking with the naked eye, which cannot determine the type of wood.

Vietnam is currently striving to employ information technology to assist with timber inspection by conducting wood lookups and archiving. It needs to be with precision and to be fast which will aid in assuring the legality as well as the interests of companies ^[16]. The quality control of Vietnamese wood products is one of the EU's primary issues. Because raw materials must be legal wood, when Vietnam's wooden products are exported to key markets throughout the world, a barrier arises.

Nearly a quarter of the world's wood furniture is consumed by the European Union. The European Union is currently Vietnam's fourth largest market for wood commodities (after the United States, Japan and China).

If solely wood commodities are taken into account, the EU is Vietnam's second-largest market (after the United States).

Despite an annual demand for EU wood commodities of up to 85 billion US dollars, Vietnam currently sends around 700-800 million US dollars to the EU each year. Both the Vietnam-EU Free Trade Agreement and the Voluntary Partnership Agreement (VPA / FLEGT) with the EU are expected to increase wood shipments to the EU. ^[15]

In order to boost the export of Vietnamese timber and timber products to a variety of high-level markets, including typical markets, Vietnam has made efforts to strengthen institutions and restructure the forestry industry. It has constantly improved in recent years in the United States, along with the quality and design of Vietnam's exporting wood items. Furthermore, the Vietnamese wood industry's spectacular rise in recent years has been fueled by initiative in raw materials and effective utilization of the benefits of the new generation of free trade agreements. ^[15]

In fact, Vietnam presently possesses 85 percent of planted concentrated forest with provenance and control, as well as 237,386 hectares of forests with sustainable forest management certificates. Furthermore, the EU-Vietnam Free Trade Agreement (EVFTA), which includes strong commitments to reduce tariffs (approximately 83 percent of tariff lines will be eliminated as soon as the agreement takes effect) and the signing of the "Forest Law Enforcement, Governance and Trade" and "Voluntary Partnership Agreement" (FLEGT-VPA), have given Vietnam's timber products a competitive advantage over their competitors. ^[16]

The European Union is a key supplier of wood to Vietnam and a major participant in timber exports. The EU is expected to play a growing role in the supply of timber firms since its timber supply is of good quality and has a clear origin. Belgium, Germany, Finland, and Croatia are among the countries that supply Vietnam with significant amounts of raw materials. The main types of wood that Vietnam buys from the EU are logs, sawn timber, and plywood, with an annual volume of over 1 million m³ for export processing and local consumption.

To fully benefit from the advantages provided by EVFTA, the Vietnamese business sector must aggressively research the content of EVFTA, notably the EVFTA commitments, tariffs and origin restrictions, change manufacturing processes and raw materials aggressively to conform with the Agreement's origin requirements, and divert imported sources to domestic or member countries EVFTA and its partners will collaborate to make the most of this opportunity. ^[15]

Autonomy in production, manufacturing, and raw material sourcing is more crucial than ever for Vietnamese businesses. The Vietnamese people must accept commodity production, especially as the global supply chain shifts to Southeast Asia. Under the terms of the EVFTA, Vietnam's future in relations with the EU is exclusively dependent on investment in green, clean, and modern manufacturing firms.

Because many small and medium-sized enterprises exporting to the EU have limited resources, production processes that do not fulfill EU regulations, a lack of appropriate R&D investment, and are underutilized, Vietnamese enterprises will have to wait till the next time due to intellectual property, brand name, and other issues, as well as a lack of foreign language skills and professional trade promotion negotiation skills to carry out export activities to the EU market. Investing in enhancing the value and quality of products and goods to keep competitive in the EU market. ^[16]

Vietnam is the leading exporter of wood, wood products, and forest products in ASEAN, Asia, and the world, and it has created a development-capable structure of domestic and FDI enterprises. in-depth analysis of the forestry processing sector Aside from major export markets like the United States, Japan, China, the European Union, and South Korea, Vietnam's wood sector also has a number of potential markets like Canada, Russia, and India.

4. Wood exports from Vietnam to Europe

The EVFTA is a trade deal in which Vietnam agreed to quickly reduce 65 percent of all EU import taxes, with the remaining taxes to be eliminated within ten years.

Vietnam also promised to abolish the majority of export tariffs on EU-bound commodities and not to raise tariffs on the remaining categories (including crude oil and coal).

As soon as the EVFTA takes effect, the EU has promised to remove tariffs on Vietnamese commodities that pertain to 85.6 percent of the tariff lines in the tariff, or 70.3 percent of Vietnam's export turnover to the EU. The EU pledged to eliminate 99.2 percent of tariff lines, or 99.7 percent of Vietnam's exports, within seven years of the EVFTA's implementation.

In recent years, the rise of the wood industry has grown increasingly profitable. The index of industrial output in the wood industry increased by an average of 3.4 percent each year from 2016 to 2020, with the highest growth in 2017 at 4.6 percent, followed by 4 percent in 2018, 4 percent in 2019, 10.3 percent in 2019, and 4.6 percent in 2020. ^[13]

The openness of the domestic business legal system, as well as newly signed Free Trade Agreements such as the Comprehensive and Progressive Trans-Pacific Partnership (CPTPP), the Free Trade Agreement between Vietnam and the European Union (EVFTA), and the Regional Comprehensive Economic Partnership (RCEP), have aided the rapid growth of Vietnam's wood industry in recent years (RCEP). ^[19]

These Free Trade Agreements provide a high level of comprehensive obligations that will assist Vietnam's worldwide standing and give Vietnamese timber enterprises wider access to clients in the existing wood product value chain. By having a positive spillover impact on potential purchasers, increasing the export and import of goods and services between Vietnam and regions and countries across the world.

4.1 Wood export trends in the near future.

The rise of the wood sector will be aided by global economic growth and demand for renewable energy, according to the United Nations Food and Agriculture Organization (FAO). Sales of specific wood goods will be higher in particular due to market demand. Wood goods used in interior design, manufacturing, or industrial wood, such as chipboard and laminate wood, are in high demand due to their ease of use, shaping, and utilization.

The market for boards and compressed wood has increased considerably in recent years as a result of technological developments, meeting both the European Union's bioenergy targets and environmental regulations. Europe and North America generate nearly all of the world's wood pellets, with Europe accounting for 58 percent and North America for 32 percent, respectively. ^[17]

Despite the impact of the COVID-19 outbreak, the wood sector remains a bright spot in the Vietnamese economy, consistently ranking first among sustainable development groups. Domestic furniture, such as kitchen, bathroom, and vanity furniture, can account for up to 60% of the global demand for all types of furniture in terms of products. As a result, the wood industry considers this product group to be a strategic product, a "lifesaver" for wood enterprises as demand when other product groups fall.

The EU market: The EU presently accounts for 40% of Vietnam's export market structure, making it a major potential market for Vietnamese exports. In historic markets including the United Kingdom, France, Germany, the Netherlands, and Italy, Vietnam has maintained a stable presence. New markets, such as Portugal, Spain, and Ireland, offer numerous expansion opportunities; the Comprehensive Agreement between Vietnam and the EU, which has been in effect since 1995, has yielded impressive results, particularly in the areas of attracting foreign direct investment and technology transfer [19].

4.2 Solution for exporting wood to Europe

When exporting to Europe, firms have to pay close attention to the EVFTA standards as well as current integration experiences, and make a list of institutional issues that need to be resolved (such as legal and management apparatus...); Establish and operate the necessary institutions in Vietnam for the fulfillment of obligations and effective utilization of rights under the EVFTA commitments, particularly capacity building support, technical contributions, design mechanisms, and support for small businesses.

For Vietnam to reap the expected benefits, the development of relevant factors, as well as the establishment of criteria, projections of ways to overcome these challenges, and effective implementation of EVFTA Prerequisites. [17]

In order to exploit opportunities and overcome challenges on a practical basis, the business community must proactively identify and prepare capacity, specific scenarios for information, finance, human resources, and technology. The authorities must provide the commitment roadmap publicly and conveniently.

Vietnam requires more practical and appropriate determination and action to overcome difficulties and shortcomings in renewing development models, improving productivity, national and corporate competitiveness, and controlling public debt, bad debt, counterfeit goods, food safety, toxic chemicals, environmental pollution, disaster recovery and climate change, domestic violence, and increased security society. [18]

In this thesis, author would like to propose the following necessary solutions for export to the European market, based on the results of exports to Europe and the state of agreements reached between Vietnam and groupings of nations.

4.2.1 Investigating and evaluating the quality of goods exported to the European Union

The EU market is large, yet it is not accessible to all businesses due to its difficulties. Food safety, labeling, the environment, and other necessary EU laws are exceedingly strict and difficult to meet. Businesses that have identified the EU as a target market must proceed with caution. They must actively create research labs or hire research businesses to assess the quality of goods exported to the EU market.

To take advantage of EVFTA's opportunities, Vietnamese businesses will have to incur large sums to alter manufacturing. Vietnamese enterprises, for example, must move their raw material supply from abroad to domestic in order to comply with the agreement's origin requirements. Purchasing domestically is more expensive, but it gives businesses exporting to the EU a competitive advantage. ^[17]

4.2.2 High-quality local resources market in Vietnam

Developing plentiful high-quality indigenous resources to replace imports and proactively delivering wood products for export through capital investment, technology, and knowledge to modernize facilities. The topic of afforestation in order to ensure the country's raw material supply includes infrastructure quality, business network modernization, development of high-quality human resources, environmental protection, and regenerating and increasing forest resources for export.

To build, preserve, and conserve forests in a sustainable manner, the government must mobilize the entire population. Encourage all economic sectors to participate in afforestation through favorable land tax, value added tax, benefits and product consumption, investment, and credit policies. ^[18]

At the same time, the state and the associations must quickly communicate the requirements for afforestation units to follow. Procedures must be in place to closely monitor and encourage the respective areas and branches to complete the reforestation project so that domestic raw material sources can supply 50% of the demand for wood products processing.

– To facilitate the import of wood products. To buy original goods in bulk and save money on transportation, businesses must unite. The possibility of constructing bonded warehouses in nations where businesses need to import raw wood should be investigated. Businesses benefit from pre-processing raw wood, having the conditions to pick timber according to requirements, and concentrating adequate quantity to transport back to the country. ^[17]

Diversifying imported wood material sources as well as wood and raw material markets, not just in Asia but also in Africa and the Nordic countries. The timber business has to engage with foreign forest owners to secure a reliable and long-term source of raw materials.

Buying forests has the advantage of allowing you to use all of the raw resources from the forest whenever you need them, at a lesser cost than harvesting wood from that area.

Businesses should use government help to negotiate agreements with countries with significant forest resources and to develop cross-border collaboration.

- Increasing the localization rate for raw materials for the wood industry by taking advantage of the state's credit and other conditions to invest in the production of supporting industries for the wood processing sector such as paint, packaging, reinforcing materials, and hinged screws to develop domestic raw material production for the wood sector in order to replace imported items.

Simultaneously, businesses must work together to develop wholesale markets for wood-related raw materials, ensuring that they have simple access to these materials.

- Supporting the national expansion of fine-art export woodcraft communities, with a special focus on the export hub, in accordance with a long-term strategy. Rehabilitating the handicraft wood craft hamlet will demand significant investment in order to actively build a source of export commodities.
- The state is investing in the establishment of firms that manufacture wood chips, fiber boards, and the processing of wood products from those materials for export. To improve the availability of medium and long-term credit loans for manufacturing, processing, and trading firms in general, and wood products in particular, by changing the commercial banking system.
- Encourage the use of information technology to computerize 100 percent of Vietnamese wood product manufacturing institutions and export business units.
- Make high-quality human resources a top focus for the company's management team, R&D team, and technical employees. ^[18]

4.2.3 Establish a company standard.

Overcoming small-scale manufacturing; quickly designing and implementing Vietnam's plan to promote wood product exports; gradually forming Wood Industry Groups by linking goods sources in each location and throughout the country. This organization will need to bring together a large number of wood-producing, processing, and exporting companies that are linked by profit margins, strict obligations, and open regulations.

Because the distribution system is critical for collecting feedback and developing the market, it is possible to build a powerful distribution system once there is sufficient economic potential. Each country's wholesale and retail systems will set up their own distribution routes based on the market. ^[17]

Strengthen & consolidate horizontal and vertical ties: horizontal ties should be strengthened (connecting by administrative territory, connection between trading corporations, processing enterprises, and banks, and linking between training and research centers). Scientific research, processing - exporting enterprise, Vietnam Timber and Forest Product Association; vertical systems (from raw material-creating establishments to preliminary processing establishments, processing enterprises, and consuming of domestic and foreign products).

To promptly coordinate the categorization, consolidation, equitization, and renewal of production models of state-owned timber products exporting enterprises, while adhering to market mechanism regulations, in order to construct big companies. Economic organizations that are strong do well in areas where other industries are unable to compete. Simultaneously, a high priority should be placed on substantially promoting newly established small and medium-sized export firms from various economic cities to participate in the export of wood products, first and foremost by ensuring fair business competition amongst enterprises, private businesses and state-owned enterprises. ^[18]

4.2.4 Export promotion:

Focus on export promotion, international trademark registration and protection, and improving international business negotiation and transaction capacity; to closely link the exploitation of the domestic market with regional and global markets to ensure the

quality of export growth, particularly during times of crisis, war, terrorism, and natural disasters, to strictly set export growth targets. ^[18]

Vietnam's hardwood furniture brands must be preserved in the future, and customers in over 120 countries must be aware of it. These are potentially impactful actions to take:

- First, in conjunction with all stakeholders, design and implement Vietnam's export marketing plan for wood goods (the government, trade promotion organizations, export enterprises, and the Vietnam Wood and Forest Products Association).
- Second, in the deployment of marketing for wood product exports, immediately implement and grow e-commerce.
- Third, personnel of organizations that sell wood products for export should be appropriately trained.
- Fourth, regular programs to promote the name and potential of Vietnamese wooden furniture export are required, particularly in key markets such as the United States, the European Union, and Japan; for example, the specialized magazine 'Furniture Today' introduces Vietnamese wood products to European interior decoration importers.
- Fifth, participate in international fairs, advertisements, and exhibitions on a regular basis; generate trade promotion materials such as catalogs, brochures, and other materials; and always seek feedback from clients on Vietnamese wood suppliers' activities.
- Sixth, focus on transactions involving the export of Vietnamese wood products; contract negotiation and signing; and, with the help of the Timber Association, fairly allocate to firms to reduce the phenomenon of traders' competition causing market and price volatility.
- Seventh, strengthen the obligations of Vietnam's diplomatic and trade representatives abroad, as well as the representative offices of Vietnamese international economic organizations, to actively support export promotion. Import of wood for the Vietnamese industry.

4.2.5 Doing business on a global scale

Complete and widely publicize the State-Government of Vietnam's models, mechanisms, and policies for managing and encouraging timber export, strengthen the role and functions of Industry Associations, particularly the Vietnam Wood and Forest Products Association, in effectively linking the business chain and creating a competitive advantage in national, regional, and global concentration; and rapidly improve the international investment-business environment, synchronize forestry and timber export policies. Workers' wages, in fact, are utilized to free up production capacity and overcome undesirable national characteristics so that resources can be concentrated for large-scale export.

This strategic solution intends to create a major competitive advantage in order to boost the export of Vietnamese wood products in accordance with the goals and objectives set out in the plan.

- First, examine all strategies, mechanisms, and policies employed by the state - the current Vietnamese government - to control and boost forest product exports with the

goal of minimizing sectors and territories. By preventing concurrently growing the maximum authorized fields, provide financial and business autonomy, as well as equitable competitive rights for firms.

- Second, widely distribute and communicate master plans, strategies, import and export management systems, and environmental protection in general, with an emphasis on forest resources in particular.

- Thirdly, at all levels, the State Steering Committee for Forest Resource Protection, the Ministry of Agriculture and Rural Development, the Ministry of Trade, and the Vietnam Wood and Forest Products Association collaborate with industry management. They frequently work with the People's Committees of provinces - cities, districts, wards - communes to prepare transdisciplinary circulars on the management and export of wood products from the central level to the locality.

- Fourth, strengthen decentralization of subordinate management in the areas of investment, business, recruiting financial resources, socialized infrastructure construction, industrial waste treatment, and forest resource protection and regeneration.

- Fifth, completing simple floral administrative activities using the "one seal, one door" principle, with a focus on tax collection and customs declaration.

- Fifth, take immediate action to minimize negative consequences from trade fraud, smuggling, and deforestation, and suitably reward responsible management. high-level policies to encourage technological innovation and increase worker productivity.

4.2.6 Risks estimated

Prevent, convert, and disseminate export risks from "hot" growth's dual outcomes of stable, effective growth and long-term socioeconomic development. Environmental balance, restoration of forest and land resources, and environmental improvement are all priorities at this national school.

- First, consider natural forests for afforestation in order to attract enterprises to participate in afforestation on a long-term basis.

- Second, according to the regime of growing forest land use term and reducing land rent, increase land and forest allocation to people; implement forest profession socialization, sustainable forest management, and successful forest business in compliance with FSC forest certification criteria.

- Third, as quickly as possible, apply the conditions for giving forest certificates to wood furniture exporters, and assist them in building quality management systems that meet ISO 9000, ISO 14000, and other standards.

- Fourth, a plan and program for investing in and getting modern technology and equipment for wood processing lines should be devised to reduce pollution and increase the value of wood products.

- Fifth, as quickly as feasible, formulate and implement a national long-term development plan for natural and naked forests for export.

- Sixth, strictly follow the government's timber industry inspection requirements, strengthen post-inspection activities, and effectively control legal transgressions

connected to forest exploitation, circulation - regulation. timber exports, for example, are a variable.

4.2.7 Business strategy

In order to have a successful production and business plan, businesses must check disease conditions on a regular basis. Simultaneously, a plan should be designed to alter the sort of trade promotion to one that uses internet advertising and connects online enterprises to safeguard and grow the market even while the epidemic unfolds. A speedy restoration of all operations may be conceivable once the outbreak has diminished and terminated.

To increase the company's competitiveness, improve the quality of human resources. Although Vietnam has a large and low-cost workforce, it lacks the capacity to absorb high-quality investment capital flows. The reason for this is because infrastructure and the quality of human resources are still limited. Businesses in Vietnam must invest in improving the quality of their human resources and inviting experts to train employees in high-tech skills. ^[18]

Because EU clients have strict criteria for product quality and production processes, it is necessary to improve product quality in order to maintain standards. Raw materials are imported from China, ASEAN, and non-FTA countries with the EU for many of Vietnam's export products. For imported commodities, the EU currently has rather strict origin and provenance criteria. Vietnamese products must be processed from domestically produced raw materials or from countries with which the EU has an FTA in order to qualify for tariff benefits.

Businesses will not be able to fully reap the benefits of the EVFTA unless they enhance the quality of their exports and comply with EU regulations, notably in the area of traceability. ^[19]

Corporate governance reform model as the Industrial Revolution progresses, everything will be digitalized. Today, 4.0 is unfolding like a hurricane. The more we realize how utilizing information technology provides several benefits to organizations, particularly in the context of COVID-19, translated to with little social exposure, the more we notice how businesses must change their thinking as well as their governance model of enterprise.

Information transparency Vietnamese businesses must have access to information about the origin, product quality, production, and business operations so that EU partners may easily access and investigate items and their properties. ^[19]

As a result, manufacturers must concentrate on updating investment information, upgrading branded marketing services, and developing new ways to promote products other than through displays and product fairs, news... Vietnamese communities and groups in other countries, for example, and media such as the internet and social media. Businesses and farmers must be addressed and be assisted proactively in the development of things that meet EU market criteria, as well as in the promotion and enhancement of the product's brand.

4.2.8 Enterprise linking solutions

Currently, Vietnam units can only manufacture on a contract basis. They are unable to fulfill many significant contracts due to a lack of raw materials and production capacity. This is a significant loss that decreases the competitiveness, thus the corporation's member units must link, support, or collaborate with enterprises in the wood sector in order to complete large contracts. To achieve that, the units' manufacturing lines must be well-synchronized and well-maintained so that the goods are of high and consistent quality. To be able to mass produce and deliver on schedule, units must pay close attention to standardization and quality. Furthermore, links for obtaining raw materials, doing huge contracts, and providing information.

4.2.9 Solution to penetration into the EU distribution channels

The EU's distribution channel system is currently one of the world's most complicated distribution channel systems, involving shops, supermarkets, independent retail firms, and the role of transnational corporations (TNCs).

TNCs focus on manufacturing investment or purchase to the distribution of commodities to the retail network, and they organize their consumption networks extremely closely. As a result, they maintain a tight working connection with overseas contractors in order to assure a consistent supply of goods and maintain their trust with them. The EU DCS system becomes very tightly tied and has a lengthy history in the presence of these TNCs. In the EU market, the two most popular types of DCS organization are corporate and non-syndicate.

The producers or importers of a group only supply items to the group's chain of stores and supermarkets, not to the outside retail system, through the group distribution channel network and customers.

5. Conclusion

In order to export wood to the European market, as well as other countries, synchronized solutions are essential. Despite the country's economic crisis, Vietnam's wood export market has been gradually growing in recent years. Increased competition, paired with foreign investment, has helped the Vietnamese wood industry enhance its export value, allowing enterprises to learn and rub shoulders. On the other hand, the Vietnamese timber industry is not as competitive as one might imagine.

The Voluntary Partnership Deal (VPA) is a legally binding trade agreement between Vietnam and the European Union with the goal of improving forest governance and encouraging legal timber trade. According to the VPA, Vietnam would establish a timber legality assurance system (VNTLAS) to ensure that exported timber is legal, and the EU will only accept legal timber permitted for FLEGT imports into the EU after the VPA is approved. The licensing scheme has been signed and is currently in use. The Voluntary Partnership Pact (VPA) is a legally binding trade pact that promotes timber commerce and improves forest governance from Vietnam to the European Union.

After the VPA is approved, Vietnam will build a timber legality assurance system (VNTLAS) to ensure that the timber exported is legal, and the EU will only accept legal timber that has been licensed for FLEGT imports into the EU, signing and putting the license process in place. To take advantage of the Agreements' significant development prospects, efforts should be focused on improving labor productivity and worker capabilities, rather than on the type of wood used, in addition to central planning and investment in establishing domestic commercial and plantation forest material areas with species that meet the market needs.

On the commercial side, market research is critical in determining the optimum product development plan. To increase the industry's competitiveness, the most crucial issue is to transform manufacturing mindset from small to large scale. Clear advice from state management organizations is required for this.

Furthermore, facing the new environment, businesses must alter their business strategy, with competition functioning as a motivator for innovation and progress. Simultaneously, in order to appropriately utilize financial resources and knowledge transfer from businesses, strong engagement with partner markets under the Agreement is essential in order to significantly boost direct investments in Vietnam. This is also a fantastic opportunity for Vietnamese businesses to get more involved in regional and global supply networks.

Authorities must construct a strong supporting industrial development plan, restructure the agriculture sector, and attract development investment in addition to disseminating the provisions of the EVFTA legislation. Producing, exporting to the EU market, or providing official information on EU markets, as well as legal support for businesses looking to capitalize on the EVFTA's potential.

Vietnam, like other developing countries, has only achieved export successes in terms of output, with very low value-added content in exported commodities.

Due to limited resources, only in-depth analysis and evaluation of options for export activities to the EU market are accessible for the wood industry, whereas textiles, garments, footwear, seafood, vegetables, rice, honey, coffee, pepper, cashew have not much to say.

The offered solutions, such as (4.2.8 -Solutions to penetration into EU distribution channels), should take into account the current circumstances in Vietnam and Europe. If this is the case, the new option is really easier to implement.

Topics about Vietnam's goods exports to the EU market will continue to be monitored and studied in the context of many changes in the coming years. Such research will serve as the foundation for promoting Vietnam's exports around the world, contributing to the country's overall growth and development, and serving as a link between Vietnam and Europe as well as the rest of countries from all over the world.

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